

Micron Technology, Inc.

MU NASDAQ

Buy	\$943.61 ▼ 1.30%	12M Price Target \$1150.00	52-Week Range \$118.52 – \$1255.00	Market Cap \$1.07T
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MU: China Threat Real, But AI Memory Cycle Still Roaring

WHAT HAPPENED

- Stock down 1.3% today, and honestly the price action this week has been schizophrenic — bouncing between \$933 and \$958 with no clear direction. The Barron's piece calling out China grabbing memory market share is the real culprit here. Chinese memory maker CXMT has been quietly gaining share in older DRAM nodes, and the market is starting to price in a scenario where they eventually threaten Micron in commodity memory.
- Meanwhile, options flow is screaming bullish — put/call ratio of 0.44 with massive unusual call buying at \$935-\$950 strikes. Somebody with real money thinks this dip gets bought within weeks.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- China's CXMT scaling faster than expected in HBM — that's the nightmare scenario that turns Micron into a commodity player again
- The Fed staying hawkish and crushing multiples on all high-growth tech (memory stocks historically trade off rates + cycle together)
- The non-obvious one: hyperscaler capex digestion — if Microsoft, Meta, or Google announce even a temporary AI spending pause in Q4, memory stocks get hit first and hardest because they're the most cyclical part of the AI trade

IN THE NEWS

Micron's 11% Drop Hasn't Shaken Wall Street's Bull Case GuruFocus.com · 2026-09-03 15:41

The Fed's September Decision Could Hit Micron Harder Than Its Own Earnings Motley Fool · 2026-09-03 15:35

SEMI's CEO Has Watched Four Decades of Chip Cycles. He Says This One Only Goes Up. 24/7 Wall St. · 2026-09-03 15:15

Can PENG Turn Integrated Memory Growth Into an Edge Over Competitors? Zacks · 2026-09-03 14:44

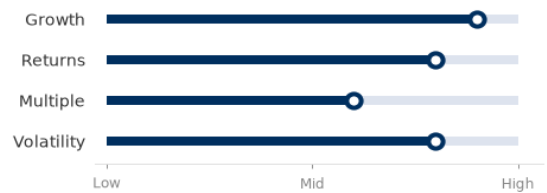
Upbeat AI Data Centers Demand Propels SK Hynix: More Growth Ahead? Zacks · 2026-09-03 14:16

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$943.61
12M Price Target	\$1150.00
Upside / (Downside)	+21.9%
Market Cap	\$1.07T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$21.50
Fwd P/E	66.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1020.00	\$960.00	\$870.00
6 Months	\$1200.00	\$1050.00	\$820.00
1 Year	\$1400.00	\$1150.00	\$750.00
2 Years	\$1800.00	\$1350.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2400.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Financials leading today on rate-cut optimism ahead of the Fed meeting. Semis specifically getting bid on continued AI infrastructure buildout — CoreWeave, Oracle Cloud, and hyperscaler capex numbers keep beating.

COOLING OFF: Tech is only up 1.1% today and down 1.6% over 5 days — that's the "AI trade taking a breather" signal. Some rotation out of the winners into laggards.

ROTATION WATCH: Money is rotating within tech — from richly-valued AI software names toward the physical infrastructure (memory, networking, power). That's a direct tailwind for MU because they sell the picks and shovels.

RELATED PLAY: If you like the memory thesis but want less volatility, look at the equipment makers (Applied Materials, Lam Research) — they sell to Micron AND their Korean competitors, so they win regardless of who takes share.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every GPU they sell pulls HBM demand with it, which flows straight to MU's income statement
 - AVGO (Broadcom): Custom AI chip wins with Google and Meta are creating a whole new memory demand curve
- MU CONTEXT:** MU has been leading its memory peers (SK Hynix, Samsung) year-to-date because it's the only US-listed pure-play, so it gets the CHIPS Act premium AND the "America First" trade flow. Today's dip is more about profit-taking than fundamentals — when a stock 8x's in under two years, chop is normal and healthy.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish but not pounding the table because the easy money has been made; from here you need continued execution.

POSITION SIZE: 3-5% of portfolio — the upside is still real (HBM is a genuine supercycle) but the volatility means you don't want it to be a top-3 position at these prices.

ENTRY POINTS: Add on pullbacks to \$900-930, which is where the stock has repeatedly found buyers this past week. If we get a macro flush to \$850, back up the truck.

TIME HORIZON: 12-24 months. Key catalysts: next earnings report (HBM guidance), Fed decision this month, and any new China export control announcements.

WHEN TO BAIL: If Micron guides down on HBM pricing OR if CXMT announces a legitimate HBM competitor at volume — those are the two things that break the thesis. Also watch for insider selling clusters (right now insider signal is neutral, which is fine).

HEDGING: Buy some protective puts 10-15% below current price for peace of mind, or pair this with a short position in a memory competitor trading at a richer multiple. Simpler hedge: just don't oversize the position.